

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

20th November 2020

Subject CB2 – Business Economics

Time allowed: 3 Hours 30 Minutes (09.30 – 13.00 Hours)

Total Marks: 100

- Q.1)** Which of the following statements is correct in relation to the Classical Approach?
Economists following the classical approach of thought:
- I. Believe in an automatic self-regulating mechanism that would return the economy to a full employment level of output
 - II. Focus on consumers' wants and needs for determining prices
 - III. Believe in a centrally planned economic system
- A. (I) only
 - B. (I) and (II) only
 - C. (I) and (III) only
 - D. (I), (II) and (III) only
- [1.5]**
- Q. 2)** Which one of the following is True for Shadow Markets?
- A. Shadow markets tend to develop when there is a scarcity.
 - B. The price of a good is below the equilibrium price.
 - C. The Government has set a price ceiling above the equilibrium.
 - D. The price of a good is determined by supply and demand.
- [1.5]**
- Q. 3)** Which of the following statements about market structure is False?
- A. Oligopoly always show collusive behaviour
 - B. Monopolistic firm show a downward sloping demand curve
 - C. A perfectly competitive firm show optimum output level
 - D. Monopoly competition show steeper demand curve
- [1.5]**
- Q. 4)** Mrs. X runs a bookshop. She would have earned Rs. 62,000/- as a teacher's salary if she had not been running a book shop. She put Rs. 50,000/- from her own money into the business. The money would have earned Rs. 2,500/- in interest if she had left it in the bank account. What is the opportunity cost of Mrs. X for running a bookshop?
- A. Rs. 114, 500/-
 - B. Rs. 64,500/-
 - C. Rs. 62,000/-
 - D. Rs. 1,12,000/-
- [1.5]**
- Q. 5)** Which of the following would be included in the social costs of the industry?
- I. The cost of raising capital for the investment purpose of the business
 - II. The cost of premium for Mediclaim insurance borne by employees
 - III. The traffic congestion caused by employees of the industry
- A. (I) only
 - B. (I) and (II) only
 - C. (I) and (III) only
 - D. (I), (II) and (III) only
- [1.5]**
- Q. 6)** A business practice that limits or restricts effective competition from either actual or potential rivals represents:

- A. Exploitative abuse
- B. Restrictive Practices
- C. Exclusionary abuses
- D. Bid rigging

[1.5]

Q. 7) There are more substitutes available for XYZ Ltd. in the market:

- A. The larger is its price elasticity of demand
- B. The smaller is its price elasticity of demand
- C. The larger is its income elasticity of demand
- D. The smaller is its income elasticity of demand

[1.5]

Q. 8) When the marginal product of labour is greater than the average product of labour

- A. The marginal product of labour is increasing
- B. The average product of labour is increasing
- C. The firm is experiencing diminishing marginal returns
- D. The firm is experiencing increasing returns to scale

[1.5]

Q. 9) Which of the following statements is correct in relation to the third degree of price discrimination?

- I. The firm must face a downward sloping demand curve.
- II. The elasticity of demand for the good must differ within a group of consumers.
- III. The firm charges different price to consumers within a group.

- A. (II) only
- B. (II) and (III) only
- C. (I) only
- D. (I), (II) and (III) only

[1.5]

Q. 10) You are given the following data on a firm:

Output	Marginal Cost of the next unit (Rs)	Marginal Revenue from the next unit (Rs)	Average Cost (Rs)	Average Revenue (Rs)
4	15	25	29	40
5	11	21	27	38
6	7	17	25	36
7	29	11	23	34
8	39	7	20	32

What is the supernormal profit at the profit maximising output?

- A. Rs. 96
- B. Rs. 66
- C. Rs. 55
- D. Rs. 77

[1.5]

Q. 11) Which of the following statements is true about an inferior good?

- A. The substitution effect will increase the quantity of an inferior good demanded if its price increases
- B. The income effect always acts in the opposite direction to substitution effect
- C. They are related to positive income elasticity
- D. The quantity consumed falls when economy contracts

[1.5]

Q. 12) A supermarket sells three different versions of television sets. The versions are “premium brand” with highest price, “domestic brand” with a range of prices and “own brand” with lowest price. This is an example of:

- A. Price discrimination
- B. Advertising
- C. Market segmentation
- D. Perfect Competition

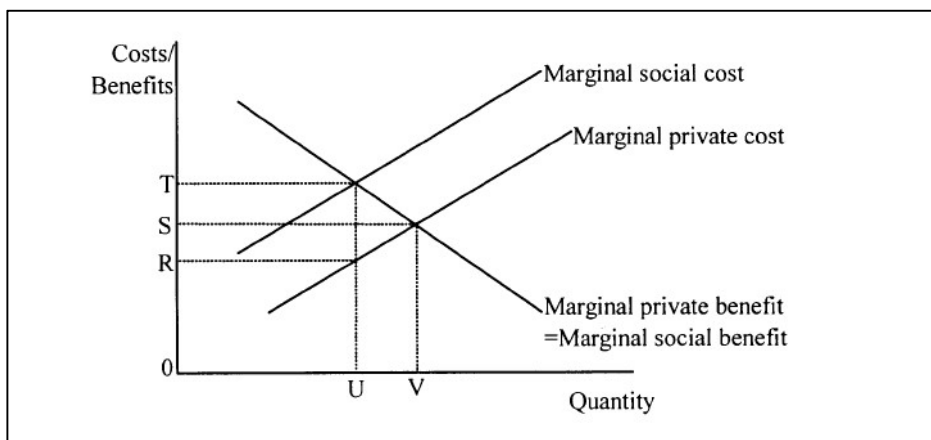
[1.5]

Q. 13) In the long run, a perfectly competitive firm will produce at an output at which:

- A. Average total cost is less than average total revenue
- B. Average total cost is at its minimum
- C. Marginal cost is equal to average total cost
- D. Average total cost equals to average total revenue

[1.5]

Q. 14) The diagram below indicates the market for a product which generates negative externalities:



To achieve an optimum allocation of resources from society's point of view requires-

- A. A subsidy of RT and quantity of 0V.
- B. A subsidy of RT and quantity of 0U.
- C. A tax of ST and quantity of 0V.
- D. A tax of RT and quantity of 0U.

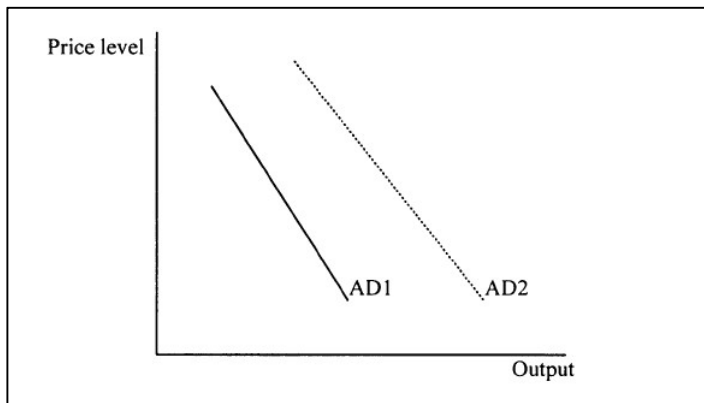
[1.5]

Q. 15) Which one of the following represents a withdrawal from the circular flow of income?

- A. Private funding for a national arts center.
- B. The extension, by the Government, of the existing highway network.
- C. The commissioning of a domestic firm of consultant engineers by a foreign oil company to investigate suspected defects in some pipelines.
- D. The purchase by a domestic department store of designer clothes produced abroad.

[1.5]

Q. 16) The diagram below shows two aggregate demand curves:

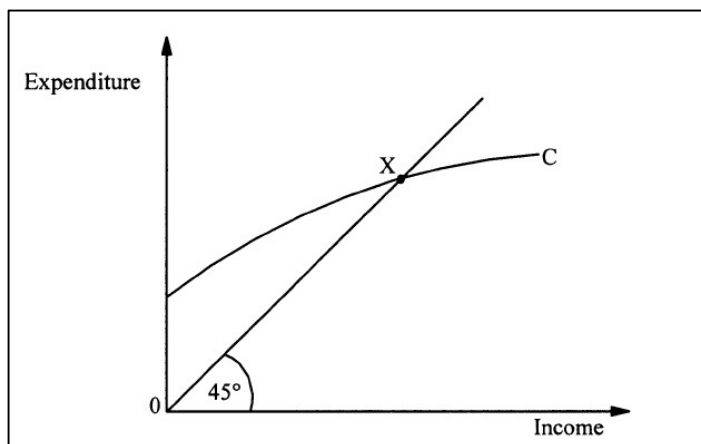


Which one of the following is most likely to have caused the shift from AD1 to AD2?

- A. A reduction in interest rates.
- B. An increase in taxes.
- C. Lower Government spending.
- D. Increased unemployment.

[1.5]

Q. 17) “C” is a consumption function in the diagram given below:



Which one of the following statements is correct?

- A. The average propensity to consume is zero at point X.
- B. The marginal propensity to consume rises as GNP rises.

C. The average propensity to save is equal to 1 at point X.

D. The marginal propensity to save rises as GNP rises.

[1.5]

Q. 18) The Keynesian approach to fiscal policy calls for

A. A balanced budget despite the state of the economy.

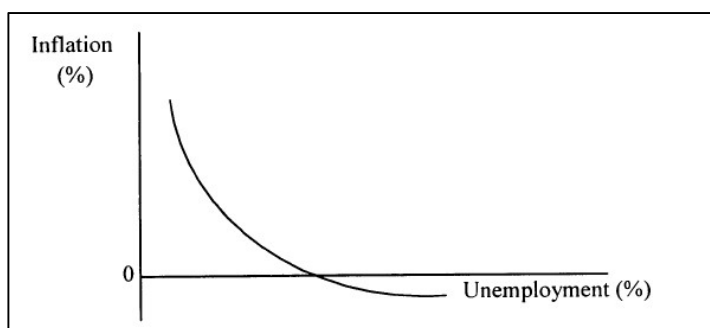
B. Budget surpluses during periods of high unemployment.

C. Tax cuts during recession.

D. Spending increases during inflation.

[1.5]

Q. 19) The diagram below shows a Philips curve



A diagram like this is generally used to show that

A. It is impossible to reduce unemployment in long run.

B. There is a “trade-off” between inflation and unemployment in the short run.

C. Unemployment may be negative, but inflation is always positive.

D. Higher levels of unemployment result in higher level of inflation.

[1.5]

Q. 20) Which one of the following transactions would be recorded in the balance of payments accounts as a positive item of Alpha, but a negative item for Beta?

A. An oil company from Alpha develops an oil field in Beta.

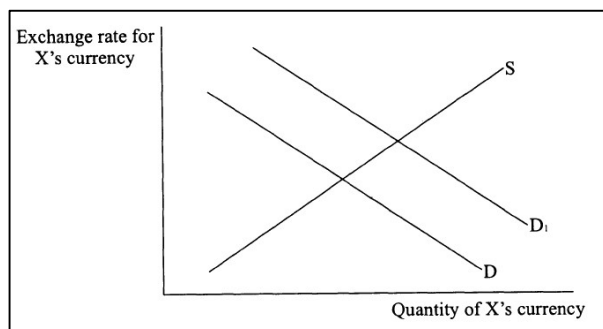
B. Oil executives from Alpha stay in hotels in Beta.

C. Petrol (Gasoline) from a refinery in Alpha is sold in Beta.

D. Petrol (Gasoline) from Alpha is taxed by the Beta Government.

[1.5]

Q. 21) The diagram below shows the demand for and supply of the currency X in international money markets



Other things remaining equal, a shift from D to D1 would be the result of

- A. A deficit in the current account of the balance of payments of Country X.
- B. An increase in Country X's Inflation.
- C. An inflow of foreign investment into country X.
- D. A reduction in Country X's Interest rates.

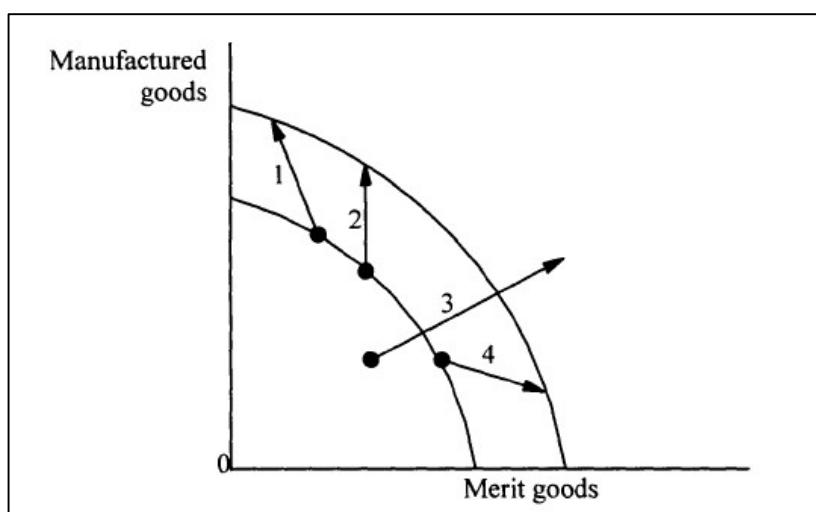
[1.5]

Q. 22) A deterioration in the terms of trade means

- A. a fall in the average price of exports relative to the average price of imports.
- B. a fall in the average price of raw materials relative to the average price of manufactured goods.
- C. a higher volume of imports relative to the volume of exports.
- D. a fall in the average price of imports relative to the average price of exports.

[1.5]

Q. 23) The following diagram shows two production possibility frontiers for the same country at different points in time



Which one of the four lines shows that growth and development have occurred over time?

- A. 1
- B. 2
- C. 3
- D. 4

[1.5]

Q. 24) Sustainable development is concerned with development which

- A. meets the needs of present and future generations.
- B. sustains existing growth and consumption patterns.
- C. favours “appropriate technology” methods of production.
- D. promotes agriculture growth so as to sustain food production.

[1.5]

Q. 25) Consider the following statement with regard to Statutory Liquidity Ratio (SLR)

- (i) To meet SLR, Commercial Banks can use cash only.
- (ii) SLR is maintained by the bank with themselves.
- (iii) SLR restricts the banks leverage in pumping more money into the economy.

Which of the statements given above is/are correct?

- A. (i), (ii) and (iii)
- B. (i) and (iii)
- C. (ii) and (iii)
- D. Only (ii)

[1.5]

Q. 26) Which of the following would cause a rightward shift in the long run aggregate supply curve?

- A. An increase in consumption
- B. An increase in imports
- C. An increase in investment
- D. An increase in exports

[1.5]

Q. 27) Due to increase in prices of petrol what will be the effect on demand curve of cars which run on diesel?

- A. Demand curve will shift to right
- B. Demand curve will shift to left
- C. There will be movement along the demand curve from left to right
- D. No change in demand

[1.5]

Q. 28) Oligopolist face kinked demand curve because:

- A. A single firm in a industry sets price for all other firms to follow
- B. A firm's competitors match its price reduction but ignores its price increase
- C. A firm's competitors match both price increase and decrease
- D. A firm's competitors match its price increase but ignores its price reduction

[1.5]

Q. 29) i) Country Actuarial is a simple economy producing three items A, B and C. The table below shows their quantities and prices for 3 years:

Goods	2001		2002		2003	
	Qty	Price	Qty	Price	Qty	Price
A	37	3	40	4	39	5
B	15	18	17	20	18	21
C	10	50	11	60	10	65

From the given information calculate.

- a) Nominal GDP for the year 2001, 2002 and 2003 (1)
- b) Real GDP for the year 2001, 2002 and 2003, assuming 2001 as the base year (1)

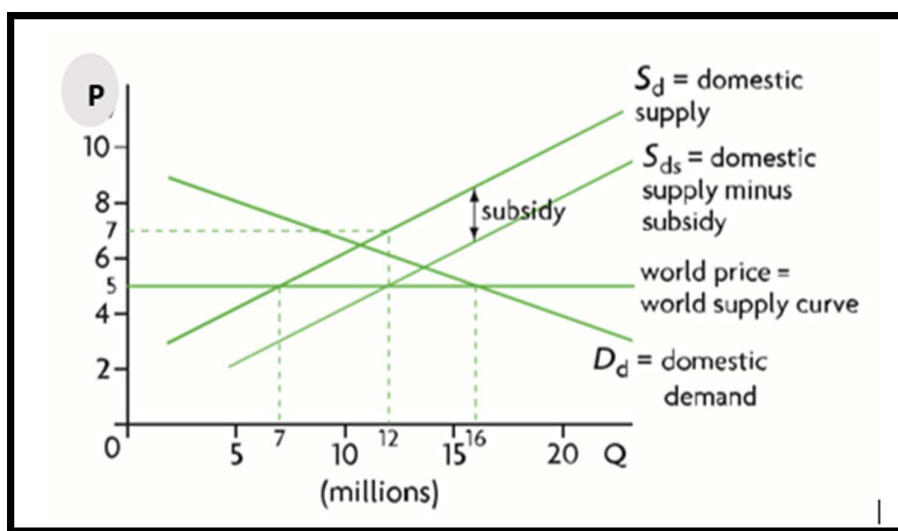
c) GDP Deflator for the year 2001,2002 and 2003 (1)

ii) Why National Income statistics (GDP/GNI) do not accurately measure the 'true' value of output? (4)
[7]

Q. 30) The Central Bank of certain countries, rather than focusing on the maintenance of both full employment and a low rate of inflation, use a special type of monetary policy that tries to keep inflation at a targeted rate.
Explain the advantages and disadvantages of such Inflation targeting. [8]

Q. 31) What are the factors affecting the demand for money? [5]

Q. 32) The diagram below shows the effects of giving a subsidy to domestic producers on different stakeholders.



Using the information provided in the diagram, answer the following questions:

Calculate

i) Subsidy per unit. (1)

ii) Change in quantity of Imports (2)

iii) Effect on revenue of domestic producers (3)

iv) Effect on domestic consumers (1)

v) Effect on foreign producers (2)
[9]

Q. 33) i) Why third party motor insurance is considered as a merit good? (2)

ii) How does advertising affect monopolistic competition? (5)
[7]

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